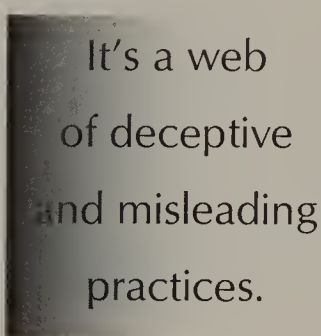


What most people don't know is that this company was investigated for fraud and ended up paying \$300 million to settle the allegations of unfair and deceptive business practices. \$300 million. Six months after that, Providian paid an additional \$105 million to settle the same allegations in a class-action suit, filed on behalf of the customers. The California District attorney involved in the case stated that Providian's way of treating their customers was a "web of deceptive and misleading business practices."



It's a web
of deceptive
and misleading
practices.

The San Francisco Chronicle reported that Providian founder Andrew Kahr wrote in an internal memo about their customers, the "problem is to squeeze out enough revenue and get customers to sit still for the squeeze." *The Chronicle* also obtained a separate memo that Kahr wrote to the executive vice president that stated, "Making people pay for access to credit is a lucrative business wherever it is practiced.... The trick is charging a lot, repeatedly, for small doses of incremental credit."

What makes my head spin even more is that the director of this bank was then hired by the federal government to be the new ethics czar for businesses! "The man President Bush tapped to lead his corporate crime watchdog team was a director of a San Francisco credit-card firm that just two years ago paid more than \$400 million to settle charges that it cheated consumers." That actual statement taken from the *San Francisco Chronicle* sounds like a bit from the fake newscasts on *Saturday Night Live*.

A credit card issuer, unrelated to Providian, was alleged to have committed even more egregious deceptive practices. The employees of this credit card issuer have anonymously come forward under the shadow of darkness for fear of losing their jobs to confess that they were told to hold customers' payment checks for a few days and not post them to the accounts, so that the payments would be deemed late and they then could charge a late fee. People paid on time and then still got dinged a \$25, \$35, or \$45 late fee! Because the company was not posting their payments! This company allegedly even had employees shred checks so